

BOARD OF THE CBA

MINUTES (28.04.2020)

On the Refinancing Rate

The CBA Board Meeting of April 28, 2020 attended by Governor Arthur Javadyan, Deputy Governor Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Martin Galstyan, Armenak Darbinyan, and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of April 28, 2020. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy in the context of still persisting global pandemic, the measures to prevent and eliminate its consequences, as well as the assessment of the impact of programs steered to restoring the economy.

In March 2020, it was recorded, there was 0.5% inflation and **the 12-month inflation expanded but it still remains rather low, amounting to -0.1% at the end of the month**. The main price increases during the month referred to item “Food products and non-alcoholic drinks” in which the fruit and vegetable prices grew by 4.4% and 6.4%, respectively (combined contribution to inflation: 0.6 pp). In March, the egg and meat product prices in this item decreased by 7.5% and 1.2%, respectively. Non-food prices remained unchanged, while service tariffs fell by 0.1% in March. **The 12-month core inflation** somewhat reduced in March **to 0.5%**.

The Board discussed the current developments in the Armenian economy: in the first quarter of 2020 the level of economic activity was still positive, making up 4.0%, owing to high indicators recorded in January and February. In March, due to the consequences of the coronavirus (COVID-19) pandemic, a decline in activity was already observable in all sectors of the economy, except for the agricultural sector, which suffered relatively less as the January-February positive trends were maintained. The spheres most affected by the pandemic are construction, lodging, public catering, transport, travel agencies and other areas of service. The actual developments in the first quarter show that economic growth will be much lower than the figure outlined in the baseline scenario in Q1 monetary policy program, primarily due to a larger than expected

decline in the construction sector. It should also be noted that negative effects on economic activity are conditioned by both supply and demand factors, which is expected to lead to a significant economic downturn in the coming months. In the second half of the year, economic growth will gradually begin to recover, but aggregate demand, even with significant fiscal stimulus envisaged under an altered state budget program, will still be weak.

The Board looked to the developments in the external sector and the uncertainties caused by the current healthcare crisis, in which case the forecasts about world economy are much more pessimistic relative to the Q1 monetary policy program. According to the IMF world economic outlook (April, 2020), global economic growth is projected at -3.0% for 2020, but given the main assumption that the pandemic will begin vanishing over the second half of 2020, it is expected that the world economy will recover in 2021 and the growth will be 5.8%. Moreover, deep economic slowdown is also anticipated in partner countries to Armenia in 2020, with the same path to recovery. In the current macroeconomic situation, uncertainties and risks remain in international commodity markets, in which circumstance the central banks of the world's leading countries continue pursuing stimulative monetary policy to smooth out price volatility and contribute to economic growth.

The impact of the Central Bank's active actions on the developments in the domestic financial market was assessed by the Board as quite effective, as they succeeded to neutralize the tensions and pressures observed in different parts of the market since mid-March. To this end, the Central Bank, through its main instrument, has fully met the growing demand for dram liquidity in the financial market, and the yield, set to rise initially, has come back to where it was and stabilized.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. The consensus was that uncertainties keep great both in the world and Armenia over how much time the emergency will take because of the spread of the coronavirus disease and measures to fight it. Such a situation, in turn, negatively affects the process of economic activity and demand recovery. In view of the aforementioned developments and estimations of persisting weak aggregate demand in the short-term, the Board **found it appropriate to add to the monetary stimulus by cutting the refinancing rate by 0.25 pp**. The Board also estimates that, in the current situation, the monetary stance will need to be

kept expansionary in the medium-term perspective as well. As a result, the inflation will keep low in the forecast horizon, approaching the target only at the end of the horizon.

The Board also considered current inflation risks and uncertainties about economic development, which are estimated to be quite high. However, downside risks to inflation deviating from the projection path prevail. Should there emerge any such risks, the Central Bank will, accordingly, adjust the policy as needed, ensuring price stability in the medium term.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

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April 28, 2020

No. 56 L

Interest Rates of Monetary Policy Instruments of the Central Bank of the Republic of Armenia

By virtue of Article 2 (3), Article 20 'c' and 'e' of the Republic of Armenia Law on the Central Bank and the Republic of Armenia Law on Regulatory Acts, the Board of the Central Bank of Armenia

enacts:

1. Set the Refinancing Rate of the Central Bank of Armenia at 5.0%.
2. Set the Lombard Facility Rate offered by the Central Bank of Armenia at 6.5%.
3. Set the Deposit Facility Rate offered by the Central Bank of Armenia at 3.5%.
4. This decision takes effect on the day following its publication on the website of the Central Bank of Armenia.

Arthur Javadyan,

Governor of the Central Bank

April 28, 2020

c. Yerevan

PRESS RELEASE
28.04.2020

At the April 28, 2020 meeting, the CBA Board decided to cut the refinancing rate by 0.25 percentage points, setting it at 5.0%.

There was 0.5% inflation in March 2020, compared to that of 0.1% registered in the same month of the previous year, with the 12-month deflation rate having reduced to 0.1%.

The spread of coronavirus disease and the healthcare measures to fight it are having a major negative impact on the global economy, including the economic growth in partner countries to Armenia, and have added to the volatility of commodity and food product prices. Though joint and concerted efforts by central banks of leading countries have weakened the volatility in financial markets, uncertainties and risks remain high. All this is estimated to continue to leave a deflationary effect on the Armenian economy.

On the back of adverse impact of the coronavirus epidemic on the Armenian economy, a decline in economic activity was observable in almost all sectors of the economy in March 2020, compared to the same period last year. According to the CBA, the decline in economic activity will deepen in the second quarter due to reduced supply and demand. There is estimation that aggregate demand will remain sluggish in the near future, which will somehow be sustained by the government with its offered package of stimulus designed for eliminating social and economic repercussions. At the same time, uncertainties related to the timing of overcoming the pandemic and economic recovery have increased to some extent, and longer-term changes in the structure and outlook of the Armenian economy will only be possible to assess after such uncertainties will diminish.

Given the current and projected external and domestic sector developments, weakening demand, currently low inflation environment and stabilizing financial markets, the CBA Board considers it appropriate to add to the monetary stimulus by reducing the refinancing rate. The Board also believes that, in the current situation, keeping the monetary stance expansionary also in the medium term will be needed. As a result, inflation in the short term will remain low, approaching the target only at the end of the forecast horizon.

Uncertainties about short-term and long-term economic developments are high at the moment, which the Central Bank is also trying to take into account. At the same time, the projection is that downside risks to inflation deviating from its path are prevailing due to both external and domestic factors. In the event of emergence of any risks, the CBA is ready to adjust the policy accordingly while maintaining the price stability in the medium term.

Detailed information underlying the setting of the level of interest rate is available in Press Release (Minutes on Interest Rate) to be published by May 13, 2020.

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Press Service of the Central Bank of Armenia